

It would undoubtedly be a wholesome step to go back to the accepted idea of income as the central motive in investment, leaving the aim toward profit, or capital appreciation, as the typical characteristic of speculation. But it is doubtful whether the true inwardness of investment rests even in this distinction. Examining standard practices of the past, we find some instances in which current income was not the leading interest of a bona fide investment operation. This was regularly true, for example, of bank stocks, which until recent years were regarded as the exclusive province of the wealthy investor. These issues returned a smaller dividend yield than did high-grade bonds, but they were purchased on the expectation that the steady growth in earnings and surplus would result in special distributions and increased principal value. In other words, it was the earnings accruing to the stockholder's credit, rather than those distributed in dividends, which motivated his purchase. Yet it would not appear to be sound to call this attitude speculative, for we should then have to contend that only the bank stocks which paid out most of their earnings in dividends (and thus gave an adequate current return) could be regarded as investments, while those following the conservative policy of building up their surplus would therefore have to be considered speculative. Such a conclusion is obviously paradoxical; and because of this fact it must be admitted that an investment in a common stock might conceivably be founded on its earning power, without reference to current dividend payments

Does this bring us back to the new-era theory of investment? Must we say that the purchase of low-yielding industrial shares in 1929 had the same right to be called investment as the purchase of low-yielding bank stocks in prewar days? The answer to this question should bring us to the end of our quest, but to deal with it properly we must turn our attention to the fifth and last distinction in our list—that between safety and risk.

This distinction expresses the broadest concept of all those underlying the term *investment*, but its practical utility is handicapped by various shortcomings. If safety is to be judged by the result, we are virtually begging the question, and come perilously close to the cynic's definition of an investment as a successful speculation.⁵ Naturally the safety must be posited in advance, but here again there is room for much that is indefinite

⁵ For a *serious* suggestion along these lines see Felix I. Shaffner, *The Problem of Investment*, pp. 18–19, New York, 1936.